

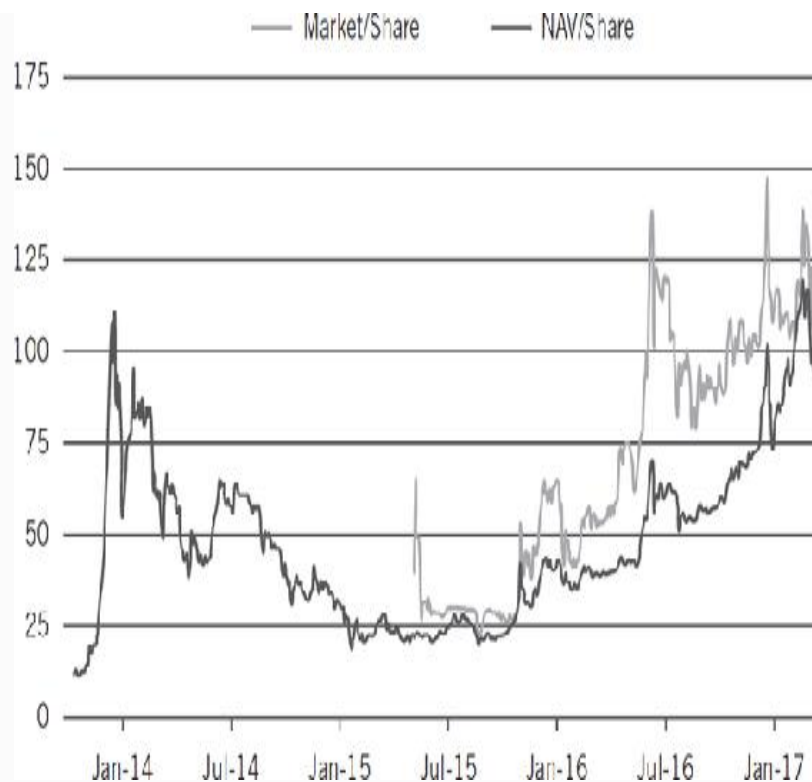


Figure 15.1 ■ GBTC's NAV compared to its price

Source: <https://grayscale.co/bitcoin-investment-trust/#market-performance>

It's clear that GBTC has traded well above its net asset value for much of its short life. Different explanations exist for this, such as that GBTC now allows everyday investors to put bitcoin exposure directly into their traditional portfolios or retirement accounts, and institutional investors can also easily buy GBTC. Whatever the reason, it is a sign that investors are interested in gaining bitcoin exposure in their portfolios. As of March 2017, the most common method to do this through a capital market vehicle is with GBTC, and therefore the premium is the price one must pay for such access. Additionally, some argue the premium is worth the ability to enjoy the benefits of bitcoin's price appreciation while providing tax reporting flexibility. However, at its core, GBTC